SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Xylobium Limited ("Xylobium") and its subsidiaries (the "Group") have a financial year end date of 31 December and apply Hong Kong Financial Reporting Standards in the preparation of financial statements. On 1 January 2023, Xylobium acquired 80% of the ordinary shares of Yucca Limited ("Yucca"). Since then, Yucca has become the only non-wholly owned subsidiary in the Group.

Companies in the Group measure owner-occupied properties and investment properties using the revaluation model under HKAS 16 *Property, Plant and Equipment* and the fair value model under HKAS 40 *Investment Property*, respectively.

Background of Yucca

Yucca operates a theme park complex in Hong Kong which offers family entertainment under its internally generated brand name "Joy Park" (the "Brand"). The theme park complex is divided into separate parks with different themes: some parks are famous for their range of amusement rides while some are more suitable for children. Joy Park has several characters serving as their mascots.

Yucca's main source of revenue is entry tickets, and Yucca produces merchandise branded with the characters in Joy Park. In its five-year strategic plan (the "Plan"), Yucca will expand the capacity of Joy Park by making major investments in amusement rides and building its first hotel adjacent to the theme park complex.

Acquisition of Yucca

On 1 January 2023, Xylobium paid HK$16,610 million for 80% of the ordinary shares of Yucca (the "Acquisition"). On top of the above, Xylobium agreed to pay HK$1,900 million to the ex-shareholders of Yucca if the number of visitors to Joy Park increased by at least 10% in the first year subsequent to the Acquisition (the "Potential Payment"). The fair value of the Potential Payment was HK$1,100 million on 1 January 2023.

Xylobium chose to measure the non-controlling interest in the Acquisition at their fair value at the acquisition date, which was HK$4,422 million. The fair value of the recorded net identifiable assets of Yucca was close to the book value as at the acquisition date. The Brand, which was assessed to be identifiable in accordance with HKAS 38 *Intangible Assets*, had a fair value of HK$2,000 million on 1 January 2023 and had an indefinite useful life. Based on the relevant tax rules, any fair value difference as at the acquisition date would give rise to deferred tax impacts and the relevant tax rate is 16%.

On 1 December 2023, Yucca sold merchandise branded with the characters of Joy Park at a cost-plus mark-up of 20% to Xylobium for HK$600 million so that Xylobium would sell these items in its retail outlets. On 31 December 2023, 75% of such items from Yucca remained in Xylobium's outlets.

Yucca's statement of changes in equity for the year ended 31 December 2023 is shown below:

	Share capital	Retained earnings	Total
	HK$ million	HK$ million	HK$ million
Balance, 1 January 2023	7,000	10,530	17,530
Profits	-	3,240	3,240
Dividends declared	-	(1,250)	(1,250)
Balance, 31 December 2023	7,000	12,520	19,520

The goodwill and the Brand arising from the Acquisition have not been impaired since the acquisition date. During the year ended 31 December 2023, the number of visitors to Joy Park increased 15% compared to the previous year, meaning that Xylobium would pay the Potential Payment, in accordance with the terms of the contract, in January 2024.

Construction of a new amusement ride The REAL Rivalry (the "Ride")

As part of the Plan, in January 2024 Yucca started building the Ride using augmented reality technology so that visitors could play a video game in real life while physically on the Ride. According to Yucca's budget, the Ride's construction will last five years, costing Yucca over HK$4,000 million. During the first six months of 2024, Yucca incurred and paid the following expenditures while constructing the Ride:

	HK$ million
1 January 2024	20
31 March 2024	36
30 June 2024	100

On 1 April 2024, Yucca issued three-year corporate bonds of HK$1,500 million with interest payable annually at 5% every 31 March (the "Bonds"). The Bonds formed part of Yucca's general borrowings. A portion of the proceeds will be used to finance the construction of the Ride. Prior to 1 April 2024, Yucca was entirely equity-financed and had no general or specific borrowings.

Yucca has a history of signing agreements with corporate partners such that the corporations pay Yucca an up-front lump sum amount as sponsorship. The corporates can have their corporate names displayed at the theme park's facilities for a period of five to seven years. The corporates spend such money to get the attention of Yucca's amusement park visitors. More specifically, the theme parks represent a good venue for promotion as the corporates can reach the growing number of young parents who are consumers and have healthy disposable incomes. Yucca has currently signed agreements with 17 corporate partners.

Zenobia Limited ("Zenobia"), a telecommunication company, would like to increase public awareness of its brand and signed an agreement with Yucca on 30 June 2024 with the lump sum paid on the same day. In return, Yucca agreed to display Zenobia's name at the Ride for six years after the Ride's construction.

<u>Construction of the Joy Park Hotel (the "Hotel")</u>

The extract below comes from a discussion between Yucca's directors on 7 May 2024:

Zoe Choi (Operations Director):	We will start building the Hotel in the third quarter of 2024. As we are inexperienced in managing a hotel business, the Hotel will be operated by a hotel operator, Vitex Limited ("Vitex"), under a management contract. All the significant operating and financing decisions will be made by Vitex. Vitex will pay a fixed annual return based on the property value of the Hotel. As Vitex is a reliable and experienced operator, this contract will last for eight years after construction has completed.
Queenie Siu (Chairman):	As this is the first time we have owned a hotel, I wonder how it should be classified on our statement of financial position. I could see some companies classifying hotels as owner-occupied properties while some might treat them as investment properties.
Jerry Pang (Sales and Marketing Director):	I also have a concern regarding the measurement of the Hotel, particularly during its construction stage. Based on our accounting policies, properties are measured at fair value. While it would generally be easier to measure the fair value of the Hotel after its completion, I doubt we could do so during its construction period.
Lloyd Yu (Finance Director):	I will ask the finance team to draft a report to update the members on the above issues arising from the Hotel, particularly during its construction stage.

<u>Question 1</u> (22 marks – approximately 40 minutes)

(a) Explain how Xylobium should determine the consideration for the Acquisition. Further, explain the accounting impact(s) arising from the Potential Payment in Xylobium's books during the year ended 31 December 2023.

(8 marks)

(b) With supporting workings, calculate the following items to be presented on the consolidated statement of financial position of the Group as at 31 December 2023:

(i) goodwill arising from the Acquisition;

(ii) deferred tax balance(s) arising from the Acquisition; and

(iii) non-controlling interest.

Note: You may present your supporting calculations in the form of consolidation adjustment journal entries. In Question 1(b)(ii), you are required to state clearly what the deferred tax impact(s) is/ are in the consolidation process and how such impact(s) should be presented on the consolidated financial statements. Explanations are, however, not necessary.

(14 marks)

<u>Question 2</u> (18 marks – approximately 32 minutes)

(a) Explain, with supporting computations, how the borrowing costs arising from the Bonds should be accounted for in Yucca's interim financial statements for the six months ended 30 June 2024. You are not required to discuss the accounting treatments in relation to the issue of the Bonds.

(8 marks)

(b) Based on the information provided in the case, advise on how Yucca should recognise the lump sum amount received from Zenobia.

(10 marks)

<u>Question 3</u> (10 marks – approximately 18 minutes)

You are Andrew So, the Finance Manager of Yucca.

<u>Required:</u>

Prepare a report to advise on, with reference to the concerns raised by the Board of Directors, the (i) classification and (ii) measurement of the Hotel under construction.

Note: A maximum of 2 marks for communication skills will be awarded.

(10 marks)

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End of Section A

SECTION B – ESSAY/ SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 4 (20 marks – approximately 36 minutes)

Cheetah Transport Limited ("CTL") is a company set up by Mr Tim Ha that is listed on The Stock Exchange of Hong Kong Limited. CTL and its subsidiaries (the "Group") operate in the transportation business.

Investment in Flying Dragon Limited ("FDL")

FDL operates in the logistics and delivery services. It was set up by Miss Fay Lung, a friend of Tim. As a start-up, FDL obtained capital contributions of HK$19 million and HK$49 million for its shares from CTL and Running Rabbit Limited ("RRL"), respectively. RRL is an independent investor that specialises in investing in start-ups. For a service fee, RRL helped FDL get further equity contributions of HK$32 million from 10 other independent investors.

Apart from CTL, none of the investors have expertise in the transportation or logistics industry. CTL considers the investment to be in line with its business strategy and believes they can better utilise the infrastructure that CTL has in place for its existing business. During negotiation, it was agreed that FDL will use CTL for at least 70% of its deliveries. In addition, CTL will be FDL's default service provider of warehouse space. Under this arrangement, FDL will enjoy preferential prices from CTL for 3 years. At the end of the 3 years, CTL will have the option to purchase a further 20% of ordinary shares in FDL from RRL at HK$30 million. The current fair value of 20% in FDL is approximately equal to HK$22 million.

As part of the deal, upon injection of capital, Tim became one of the directors on the board of FDL as a representative from CTL. The other 4 seats on the board are occupied by Fay, her employee, and 2 representatives from RRL. Key decisions on, for example, financial and operating policies, dividend distributions, acquisition of major investments, etc., must be made by the board by majority vote. Given CTL's expertise in the industry, the other directors are inclined to adopt CTL's views in making decisions in respect of the business. In addition, it is specified in the investment agreement that the representative from CTL must be present before any board meeting can be convened.

Investment in Bouncing Kangaroo Limited ("BKL")

CTL holds 40% in BKL, and it has been accounted for as an associate in CTL's consolidated financial statements. During the year, CTL sold a 30% holding in BKL and lost its significant influence over the investment. The 10% investment in BKL retained is to be held for strategic business reasons.

Accounting Software

FDL purchased off-the-shelf accounting software to be installed on its new computers. While automatic periodic updates are available for free over the internet, FDL must pay a discounted fee compared to retail price if it wants a complete upgrade two or three years later. Fay will not allow the purchase of computers if they are not used for new accounting software. FDL applies the cost model to its property, plant, and equipment as well as for intangible assets.

Required:

(a) Tim believes that CTL does not need to apply the equity method to account for the investment in FDL in CTL's consolidated financial statements. Analyse and explain whether you agree with Tim.

Note: A maximum of 2 marks for analytical skills will be awarded.

(11 marks)

(b) Explain the accounting treatment of the investment in BKL in the consolidated financial statements of CTL after CTL lost significant influence over BKL.

Note: Journal entries are not required.

(5 marks)

(c) Explain and describe the appropriate accounting treatment of the accounting software in the books of FDL.

Note: Journal entries are not required.

(4 marks)

Question 5 **(18 marks – approximately 32 minutes)**

Happy Days Limited ("HDL") and its subsidiary, Hopeful Living Limited ("HLL"), (collectively the "Group") operate in the healthcare and pharmaceutical business. HDL has a financial year end date of 31 March. The financial statements for the year ended 31 March 2023 were authorised for issue on 29 May 2023.

To incentivise the employees of HLL, on 10 April 2023 HDL introduced a new arrangement where HLL's employees are entitled to 1,000 shares in HDL at nil consideration on 30 September 2027. This is on the condition that they meet the annual sales and profit targets each year and remain employed within the Group at the time of settlement. HLL is not required to pay the value of those shares to HDL upon settlement.

During the preparation of the financial statements for the year ended 31 March 2024, Maggie Lin, the Accounting Manager, discovered that a sales transaction on 28 March 2023 was omitted by the sales team in the 31 March 2023 financial statements, and the amount involved was material. Maggie took the matter to Steve Lee, the sales manager, for clarification. The reply she received was: "The amount is already taken up in this year's accounts, so we do not need to bother making any adjustments to last year's financial statements. After all, it also impacts what you get from the shares incentives scheme too."

Maggie is a member of the HKICPA.

Required:

(a) **Analyse the appropriate accounting treatments for the grants to the employees of HLL in the consolidated financial statements of HDL for the year ended 31 March 2023.**

(3 marks)

(b) **Analyse the appropriate accounting treatments for the grants of incentives to the employees of HLL in each of the following financial statements for the year ended 31 March 2024:**

(i) **the financial statements of HLL;**
(ii) **the separate financial statements of HDL; and**
(iii) **the consolidated financial statements of HDL.**

Note: You are required to discuss the classification of the grant in each of the financial statements and demonstrate, without figures, the relevant journal entries and consolidated adjustment journal entries (if appropriate) in your answers. Answers without clear identification of which financial statements you are referring to will not be awarded marks.

Discussion about remeasurement is not required.

(10 marks)

(c) **Advise Maggie as to the ethical issues involved in this case in the context of the Code of Ethics for Professional Accountants issued by the HKICPA.**

(5 marks)

<u>Question 6</u> (12 marks – approximately 22 minutes)

Genius Limited ("GL") is incorporated in the Cayman Islands, is listed on The Stock Exchange of Hong Kong Limited ("HKEX"), and operates in the education business. The financial year end of GL is 31 March.

Superb Limited ("SL") is a company incorporated in Hong Kong which also operates in the education business. GL and SL are unrelated parties. On 1 April 2023, SL borrowed HK$4 million from Big Shark Bank in preparation for opening a new education centre. The bank loan was repayable over five years, and repayment was due on 31 March each year. Under the terms of the loan agreement, GL agreed to provide a guarantee to Big Shark Bank that if SL defaults in respect of the loan, GL will cover the payment. GL received a premium of HK$500,000 from SL as consideration for the issue of the guarantee to Big Shark Bank. The guarantee contract was issued on a stand-alone arm's length basis.

Due to a downturn in business and a delay in settlements of the receivables by some of its major corporate debtors, SL ran short of cash and was not able to repay the bank loan when the March 2024 instalment fell due. It was brought to the attention of GL's management that the loans became repayable on demand.

During the year, Gina Gu, CEO of GL, was looking into GL's integrated reporting matters. She was not sure if the following comment is true and wanted to seek advice from you:

- Since GL is not incorporated in Hong Kong, the disclosure requirements under the Hong Kong Companies Ordinance, particularly those related to business review, do not apply; and

- Disclosures for all the "comply or explain" provisions in the HKEX's Environmental, Social, and Governance Reporting Guide ("Guide") should be disclosed in GL's consolidated financial statements.

<u>Required:</u>

(a) Explain the principles of accounting for a financial guarantee under HKFRS 9, and explain the accounting treatment for the financial guarantee on the financial statements of GL for the year ended 31 March 2024.

Note: Impact of discounting/ interests should be ignored.

(7 marks)

(b) Advise and explain if you agree with the comments that were presented to Gina in respect of the Company's integrated reporting matters.

(5 marks)

* * * END OF EXAMINATION PAPER * * *